

Paying Through Mobile Phones

Mobile payment systems can be broadly classified into mobile phone based payments, card-based mobile payments, mobile Web payments and mobile wallets. Here is an overview of various mobile payment systems and services in operation world over

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Mobile commerce (m-Commerce) is the process of conducting business transactions using mobile devices such as cellular phones, smart phones, personal digital assistants, pagers, palmtops and laptop computers. Mobile payment is

an integral part of m-Commerce. It is an alternative payment system where instead of paying in cash, the consumer can use a mobile phone to pay for a wide range of goods and services.

In order to facilitate financial transaction, the mobile payment mechanism utilises digital currency in the form of digital bits. The digital currency is freely exchangeable and imitates traditional currencies such as cash, cheque or credit cards. In order to make the payment mechanism safe and secure, extra care is taken to maintain the privacy, integrity and confidentiality of online payment. Special security and encryption techniques are adopted to ensure that the financial transaction cannot be duplicated, reused or counterfeited.

In order to pay for an item through his mobile device, the user first connects to the cash register of the concerned store using the mobile device and enters the bank personal identification number (PIN) that authorises the user for making the payment. Next, the PIN is verified and if it is found okay, the user gets a 'go ahead' signal from the cash register. Then the user enters the amount to be paid in his mobile and completes the transaction. The entire process of mobile payment takes only a few seconds.

Depending on the mode of payment, mobile payment

systems can be broadly classified into mobile phone based payments, card-based mobile payments, mobile Web payments (WAP) and mobile wallets.

Mobile phone based payments

SMS-based transactional payments.

In this mode of payment, the customer makes payment through his mobile phone by sending an SMS to the retailer. Both the customer and the retailer must have a regular credit or debit card account in one of the partner banks of the payment service provider. After selecting an item for purchase, the customer sends an SMS to the retailer requesting the purchase. The retailer responds by sending a payment request through SMS to the customer. The customer keys in the bank PIN number to approve the payment. The bank verifies the PIN and immediately debits the amount from the customer's account and the transaction is completed. Both the customer and the retailer get an SMS indicating the transaction details. The entire process takes around 10 seconds to complete. The transaction gets listed in the customer's monthly bank statement.

Such SMS-based mobile payments are extremely simple and cost-effective. There is no special tariff plan or mobile operator registration required, and the cost of making the payment is just the cost of an SMS. Also, this method ensures secure payments online, over the mobile phone via SMS, either across the counter or from just about anywhere.

